

TSMC (TSM) — September 2026 Monthly Revenue Report

Record quarterly revenue confirms powerful leading-edge demand; margins and the price paid still determine the investment outcome.

Report date: October 8, 2026 Research mode: Bounded Research Question Security: NYSE TSM / TWSE 2330

Status: Research only — not published to PCC

Investment conclusion — positive fundamental update, valuation discipline retained. September revenue rose 54.6% year over year, and 3Q26 revenue reached approximately NT\$1.494 trillion, above the NT\$1.46 trillion LSEG analyst estimate cited by Reuters. This confirms demand strength but does not establish final quarterly profitability. The October 15 earnings call is the decisive next checkpoint for gross margins, N2 ramp economics, FY2026 capital intensity and fourth-quarter demand. [1][3][4][7]

SEPTEMBER REVENUE

NT\$511.86B

+54.6% vs Sep 2025

SEQUENTIAL CHANGE

-0.6%

vs August 2026

3Q26 REVENUE

NT\$1.494T

~+51% YoY

Q3 VS CONSENSUS

+2.3%

NT\$1.46T LSEG estimate

1. What changed since the previous TSM underwriting?

Resolved the key open demand checkpoint. Prior research had flagged a September sales threshold of roughly NT\$445B–NT\$483B to place Q3 within the dollar guidance range at management’s NT\$32/USD assumption. Actual September revenue of NT\$511.86B surpassed even the high-end threshold. The operating backdrop has therefore improved versus the pre-release uncertainty. [1][3]

Demand evidence strengthened

Q3 consensus exceeded

Profitability not yet reported

What did not change: monthly sales do not identify whether the strength came from wafer volume, pricing, foreign exchange, customer prebuilds, or advanced packaging; nor do they settle gross-margin dilution from N2, overseas fabrication, or the higher 2026 capex program.

2. September and Q3 revenue

Period	NT\$B	YoY
Jul 2026	467.580	+44.7%
Aug 2026	514.806	+53.3%
Sep 2026	511.857	+54.6%
Q3 total	1,494.243	~+51%
January–September	3,898.727	+41.1%

Monthly and year-to-date TSMC figures are unaudited. Q3 total is the sum of the July–September releases; percentage estimates rounded. [1][2][4]

Quarter-end momentum

Monthly consolidated revenue (NT\$ billions); adjacent labels show year-on-year growth.

Jul		467.6	+44.7% YoY
Aug		514.8	+53.3% YoY
Sep		511.9	+54.6% YoY

September softened only 0.6% sequentially from a very strong August. Monthly patterns reflect calendar, mix and shipment timing; a small sequential decrease is not a demand reversal. [1][2]

3. Guidance and consensus bridge

Measure	Comparison	Read-through
Q3 reported/reconstructed revenue	NT\$1,494.24B	~US\$46.70B at 32 NTD/USD
Management's prior Q3 upper revenue guide	US\$45.8B	~2.0% above at the guide FX assumption
LSEG 19-analyst SmartEstimate cited by Reuters	NT\$1,460B	+2.3% beat
Q2 2026 revenue	NT\$1,270.38B	Q3 +17.6% sequentially in NT\$

For guidance comparison only, NT\$1,494.24B / 32 = US\$46.70B. Actual USD reported revenue will depend on the final quarterly accounting FX rate, so this is not an official Q3 USD result. The Reuters conversion of around US\$46.71B is a contemporary estimate. [3][4]

4. Thesis assessment

What is working

- **Strength with acceleration:** reported sales growth improved from +44.7% in July to +53.3% in August and +54.6% in September.
- **Structural positioning:** TSMC's advanced-node, scale, yield and packaging ecosystem remains difficult to replicate; leading-edge nodes represented 77% of wafer revenue in Q2.
- **Capacity optionality:** a separate GlobalFoundries–TSMC five-year silicon-interposer agreement supports prospective U.S. advanced-packaging supply, with volume ramp planned in 1H28, not a near-term Q3 revenue driver. [6]

What remains exposed

- **Margins:** earlier 3Q gross-margin guidance was 65%–67%, down from 67.7% in Q2; N2 and overseas expansions may create transitional dilution.
- **Cash conversion:** an elevated capital program makes free cash flow more demanding than headline earnings.
- **Customer concentration and cyclical:** AI infrastructure demand may slow or pull forward shipments; monthlies cannot identify end-customer inventory.
- **Geopolitical and macro risk:** Taiwan operations, trade restrictions and high discount rates remain material.

5. Valuation and portfolio-manager interpretation

At a **US\$455.62 intraday reference price as of approximately 2:44 p.m. EDT on October 8**, public market data showed about **29.7x trailing earnings, 20.3x vendor-defined forward earnings, and 57.8x trailing free cash flow**—materially different valuations because capex depresses near-term free cash flow. The vendor does not publish a usable PEG number in this snapshot; no PEG-based buy conclusion is warranted. These metrics and the quote are time-stamped and will change. [5]

Investment implication

The release supports retaining exposure to TSMC's leading-edge manufacturing franchise. Following the intraday pullback into the prior research's provisional US\$450–460 staged-add band, an investor could re-evaluate a small incremental purchase *conditional on* the October 15 margin/guide confirmation and total semiconductor exposure. This is not a new independently recalculated price target, buy order, or Portfolio CIO rating.

Scenario discipline: In a bull case, Q4 guidance and 2027 commitments validate accelerating AI/HPC revenue with better-than-feared margins; in the base case, elevated growth persists but new-node and overseas dilution temper near-term margins; in a bear case, AI orders normalize against expanded capex while lower FCF and higher yields compress the multiple. Today's revenue evidence modestly increases confidence in the demand side of the bull/base cases, not in the profitability or valuation assumptions.

COMPANY QUALITY

Exceptional / reaffirmed

VALUATION ATTRACTIVENESS

Mixed / price-sensitive

PORTFOLIO FIT

Requires v58 holding read

Canonical manifest identifies **retirement-portfolio-58.xlsx**. The exact file was not read for this event-driven report; no current quantity, cost basis or portfolio weight is asserted. Earlier sizing figures must not be treated as current.

6. Next checkpoints and thesis-break conditions

Immediate proof points

- **October 15, 2026 Q3 results:** GAAP and operating margins versus 65%–67% and 56%–58% guidance; N2 yield and mix; Q4 forecast and capex.
- **November 10 monthly report:** October momentum versus an elevated September base.
- **2027 capacity visibility:** advanced packaging, contracted leading-edge demand and return on the investment program.

Escalate for CIO review if

- Multiple quarters of demand-driven leading-edge slowdown and reduced customer production plans.
- Gross margins remain below ~56%–58% through cycle, without a credible temporary explanation.
- N2 qualification or yield delays cause lasting margin/volume pressure; overseas ramp dilutes more than planned.
- Peak capex persists while utilization and FCF deteriorate, implying potential overbuild.

Important disclosure

This is a monthly-sales event report, not a Q3 earnings release. Gross profit, EPS, reported operating cash flow, segment contribution and management's updated guidance were not released with these September figures. Consequently, it is premature to issue a fully underwritten new fair value or a formal upgrade based on the release alone.

Sources and analytical method

1. [1] TSMC official September 2026 revenue release
2. [2] TSMC monthly revenue data, 2026
3. [3] TSMC Q2 2026 results and Q3 revenue/margin guidance
4. [4] Reuters, Q3 revenue versus consensus (October 8)
5. [5] StockAnalysis, TSM intraday quote and financial ratios
6. [6] Reuters, GlobalFoundries packaging agreement (October 8)
7. [7] TSMC financial calendar

Source precedence: primary company press release for revenue and guidance; Reuters/LSEG for published market forecast; StockAnalysis for a timestamped market snapshot. Q3 and percentage bridges calculated from the displayed inputs. Data as available October 8, 2026. This research does not constitute a trade instruction. It has not been published to the Portfolio Command Center.